Solution

Cost of goods sold = Opening stock + Net purchases + Direct expenses – Closing stock
= 20,000 + 70,000 + 10,000 – 30,000
= ₹ 70,000

Let the sales be	100
Less: Gross profit (20% on sales, i.e., 100)	20
Cost of goods sold	80

Therefore, percentage of Gross profit on Cost of goods sold is $\frac{20}{80} \times 100 = 25\ \%$

Gross profit = 25 % on ₹ 70,000 i.e: $\frac{25}{100} \times 70,000 = ₹\ 17,500$

Sales = Cost of goods sold + Gross profit
= 70,000 + 17,500 = ₹ 87,500



When gross profit is 25% on cost, it is 20% on sales
When gross profit is 33 $\frac{1}{3}$ % on cost, it is 25% on sales

12.4 Profit and loss account

Profit and loss account is the second part of income statement. It is a nominal account in nature. A business entity is interested in knowing not only the gross profit or loss but also the net profit earned or net loss incurred during the year. Hence, profit and loss account is prepared to ascertain the net profit or net loss during the year. Profit and loss account contains all the items of indirect expenses and losses and indirect incomes and gains in addition to gross profit or gross loss pertaining to the accounting period. The difference is net profit or net loss. According to Prof. Carter, "A Profit and Loss Account is an account into which all gains and losses are collected, in order to ascertain the excess of gains over the losses or vice-versa".



Student activity

Think: What will be the effect on the profit, if purchase of fixed asset is shown as expense in profit and loss account?

12.4.1 Need for preparing profit and loss account

Profit and loss account is prepared for the following purposes:

(i) Ascertainment of net profit or net loss

The profit and loss account discloses the net profit available to the proprietor or net loss to be borne by him. Ascertainment of profitability helps in planning for the growth and efficiency of a business enterprise. Inter-firm comparison and intra-firm comparison of profit and loss account items help in assessing efficiency in comparison with other enterprises and other departments of the same enterprise respectively.

(ii) Comparison of profit

The net profit of the current year can be compared with the profit of the previous years. It helps to know whether the business is conducted efficiently or not.

(iii) Control on expenses

Profit and loss account helps in comparing various expenses with the expenses of the previous years. The percentage of individual expenses to net sales can be calculated and compared with

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